IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH (COURT– I) CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING
HELD ON **24.03.2025** THROUGH VIDEO CONFERENCING

PRESENT: **HON'BLE SHRI. SANJIV JAIN, MEMBER (JUDICIAL)**
HON'BLE SHRI. VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

IN THE MATTER OF **:** State Bank of India
Vs
Kamachi Industries Ltd

MAIN PETITION NUMBER **:** IBA/883/2019

(IA/MA) APPLICATION NUMBERS

IA(IBC)/1898(CHE)/2024

ORDER

Present: Ld. Counsel Shri. Vasu Manchanda for the Applicant / Successful Bidders.

Ld. Counsel Shri. A.G. Sathyanarayana for the Respondent / Liquidator.

Vide separate order pronounced in Open Court, the application is disposed of with the order as under:

(a) We declare that the stand taken by the Respondent No.1 / Liquidator and the Respondent Nos. 2 to 6, i.e., the secured financial creditors of Kamachi Industries Limited, as contained in emails dated 20.08.2024 and letter dated 03.09.2024, not to bear and make payment of the liquidation costs of Kamachi Industries Limited upto the Transfer Date, i.e., from the close of business hours on 26.07.2024, is erroneous and illegal.

b) We declare that the Successful Bidders and Kamachi Industries Limited cannot be burdened with any past claim, demand or liability, of any nature prior to the Transfer Date, i.e., the close of business hours on 26.07.2024. We therefore direct the Respondent No.1 / Liquidator and the Respondent Nos. 2 to 6 / the secured financial creditors of Kamachi Industries Limited, to make payment, jointly and severally, of all outstanding dues and liabilities of Kamachi Industries Limited forthwith, including insolvency resolution process costs and the liquidation costs upto the Transfer Date, i.e., upto the close of business hours on 26.07.2024, to the respective creditors of Kamachi Industries Limited; and

(c) We direct the Respondent no.1/Liquidator and the Respondent Nos. 2 to 6 / the secured financial creditors of Kamachi Industries Limited, to pay forthwith, jointly and severally, to Kamachi Industries Limited the amounts paid by it thus far towards the outstanding dues of Kamachi Industries Limited for the period prior to the Transfer Date, i.e., 26.07.2024, totalling to INR 5,99,66,334.40 (Rupees Five Crores Ninety Nine Lacs Sixty Six

Thousand Three Hundred and Thirty Four Point Forty Paise Only), or such further amount paid towards such dues by Kamachi Industries Limited during the pendency of this Application, till the date of payment and realisation thereof.

File be consigned to records.

Sd/-

(VENKATARAMAN SUBRAMANIAM)
MEMBER (TECHNICAL)

Sd/-

(SANJIV JAIN)
MEMBER (JUDICIAL)

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IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH – I, CHENNAI

IA(IBC)/1898(CHE)/2024 in IBA/883/2019

(filed under Section 60(5) of the Insolvency and Bankruptcy Code.

In the matter of ***M/s. Kamachi Industries Limited.***

1. **Kamachi Industries Limited,**
Represented by Mr.Ankit Jain,
Authorised Representative
Having its Registered Office at
Survey No.86, 115-119, 123,
Pathapalayam Village, Gummidipoondi,
Thiruvallur District, Tamil Nadu – 600 201.
Email id: info@kamachigroup.com
cs@kamachigroup.com

… Applicant / Successful Bidders

-Vs-

1. **C.A.Mahalingam Suresh Kumar,**
Designated Partner
M/s. SPP Insolvency Professionals LLP (IPE), acting as
Liquidator of M/s Kamachi Industries Limited
IBBI Registration Number: IBBI/IPA-1/2022-23-50033
2nd Floor, CODISSIA G.D. Naidu Towers Huzur Road,
Coimbatore, Tamil Nadu – 641 018.
Email id: ipeadmin@sppgroups.com
msureshkumar@icai.org

... Respondent No.1

2. **Prudent ARC Limited**
Unit No.611, 6th Floor, D Mall, Plot A-1,
Netaji Subhash Place, Pitampura,
New Delhi – 110 034.

... Respondent No.2

3. **Punjab National Bank**,
Zonal SASTRA Centre,
No.46-49, 4th Floor, PNB Towers,
Royapettah,

Chennai – 600 014. ... Respondent No.3

4. **Union Bank of India**,
Stressed Asset Management Branch,
38 & 39, Whites Road,
Royapettah,
Chennai – 600 014.

... Respondent No.4

5. **Bank of India**,
No.826, 4th Floor, Tarapore Towers,
Anna Salai,
Chennai – 600 002.

... Respondent No.5

6. **Canara Bank**,
ARM Branch, Spencer Towers II,
1st Floor, 770-A, Anna Salai,
Chennai – 600 002.

... Respondent No.6

Present:

For Applicant : *P.S. Raman, Senior Advocate*
Anant Merathia, Advocate
Priyanka Varma, Advocate

For Respondent :*T.K. Bhaskar, Advocate*
A.G. Sathyanarayana, Advocate for R1

CORAM:

SANJIV JAIN, MEMBER (JUDICIAL)
VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

Order Pronounced on ***24th March, 2025***

O R D E R

(Heard through Hybrid Mode)

1. This application under Section 60(5) of IBC 2016 has been filed by the Successful Bidders of Kamachi Industries Limited (Company / Corporate Debtor), being represented by Mr. Ankit Jain, against the Liquidator i.e. Respondent No.1 and the Financial Creditors i.e. Respondent No.2 to Respondent No.6. seeking the following reliefs.

(a) Declare that the stand taken by the Respondent No.1 / Liquidator and the Respondent Nos. 2 to 6, i.e., the secured financial creditors of Kamachi Industries Limited, as contained in emails dated 20.08.2024 and letter dated 03.09.2024, not to bear and make payment of the liquidation costs of Kamachi Industries Limited upto the Transfer Date, i.e., from the close of business hours on 26.07.2024, is erroneous, illegal and liable to be set aside; and

b) Declare that the Successful Bidders and Kamachi Industries Limited cannot be burdened with any past claim, demand or liability, of any nature prior to the Transfer Date, i.e., from the close of business hours on 26.07.2024; and therefore direct the Respondent No.1 / Liquidator and the Respondent Nos. 2 to 6 / the secured financial creditors of Kamachi Industries Limited, to make payment, jointly and severally, of all outstanding dues and liabilities of Kamachi Industries Limited forthwith, including insolvency resolution process costs and the liquidation costs upto the Transfer Date, i.e., from the close of business hours on 26.07.2024, to the respective creditors of Kamachi Industries Limited; and

(c) Direct the Respondent no.1/Liquidator and the Respondent Nos. 2 to 6 / the secured financial creditors of Kamachi Industries Limited, to bear and pay forthwith, jointly and severally, to Kamachi Industries Limited the amounts paid by it thus far towards the outstanding dues of Kamachi Industries Limited for the period prior to the Transfer Date, i.e., 26.07.2024, totalling to INR 5,99,66,334.40 (Rupees Five Crores Ninety Nine Lacs Sixty Six Thousand Three Hundred and Thirty Four Point Forty Paise Only) and any further

amount paid towards such dues by Kamachi Industries Limited during the pendency of this Application, alongwith interest at 12% per annum, till the date of payment and realisation thereof; and

Brief Facts

2. Briefly the facts are that on an application filed by State Bank of India under Section 7 of IBC, the Corporate Debtor was admitted into CIRP by an order dated 19.02.2020. Since no viable resolution plan came, this Tribunal vide an order dated 09.12.2022 commenced the liquidation process against the Corporate Debtor. The Liquidator issued an e-auction notice and bidding document on 27.12.2023 with respect to the sale of the corporate debtor as a going concern at a reserve price of INR 457.0 Crore. The last date for submission of e-auction bid was fixed as 29.01.2024. E-auction was scheduled for 31.01.2024. The corporate debtor was to be transferred as a going concern to the successful bidder after the approval by the Tribunal. As per clause 12 of the bidding document, the acquisition date was to be mutually agreed between the successful bidder and the liquidator after the approval of bid by the Tribunal.

3. Pursuant to the bidding document, the successful bidders conducted the due diligence of the status of the assets and liabilities of the

company and submitted the acquisition plan on 29.01.2024 as Annexure D and placed their final bid for INR. 487.0 Crore. On being determined as the highest bidders, the Liquidator issued letter of intent (LOI) to the successful bidders on 31.01.2024. The sale of the company as going concern was approved by the Tribunal by an order dated 19.07.2024 with reliefs and concessions on a clean slate principle for smooth transfer of the company as a going concern.

4. The Successful Bidders thereafter made the payment of the sale consideration to the Liquidator on 26.07.2024. The Liquidator issued the sale certificate to the successful bidders on the same day i.e. 26.07.2024. The ownership, management and the control of the company was transferred to the Successful Bidders with effect from 26.07.2024.

Contention of the Applicant

5. Ld. Counsel for the Applicant submits that despite reliefs and concessions granted by the Tribunal and upon taking over the company from the transfer date i.e. 26.07.2024, the Successful Bidders / New Management immediately faced with numerous demands from various

suppliers, customers, Government Authorities etc., in relation to their dues and transactions which were undertaken during the liquidation process period of the company i.e., prior to the transfer date. The new management brought these facts to the notice of the liquidator, but the liquidator did not make payments of such dues and demands. On the contrary, by email dated 20.08.2024, the Liquidator, in consultation with the Respondents No.2 to 6, informed the suppliers / customers of the company that the Liquidator has no liability to clear the dues towards the supplies after the date of issuance of e-auction notice i.e., 27.12.2023. The outstanding dues need to be cleared by the new management of the company, i.e. the Successful Bidders. The relevant extract of the Liquidator stand is as follows:

"b. Amount due as on 27 Dec 2023 (being cut-off date for the e-auction of the Company), all the liability existing on the said will be settled by the liquidator as per the provision of IBC under the waterfall mechanism as defined u/s 53.

c. New liability arising after 27 Dec 2023, as the Company has been transferred to the buyers on Going Concern Basis, all the Operational Liabilities accrued after the said cut-off date be paid in the normal course of business by the incumbent management out of the operational assets."

6. Ld. Counsel submits that the respective contracts, sales orders/advance considerations were received by the liquidator during his tenure in lieu of supply of goods for the operations of the company to the customers, however, the said transactions were not honoured or completed by the liquidator during his tenure. The customers albeitly / erroneously approached the Successful Bidders for their payments amounting to about Rs.6.0 crore. Ld. Counsel submits that on the transfer date, no funds equivalent to the advance considerations received by the Liquidator from the customers for supply of goods etc., were available in the company. Ld. Counsel submits that the said act of the Liquidator was in contravention of the principle of sale of the company as going concern / i.e., *the buyer should be able to run and operate the business without any disruption*. Ld. Counsel submits that because of this precarious situation created by the Liquidator, the Successful Bidders in order to run the company as a going concern and to avoid black listing by the customers, refunded the advance consideration received by the Liquidator during the liquidation period and prior to the transfer date amounting to Rs. 4,12,94,276.40 as detailed in para 33 of the application as below:

Sl. No.	Customer Name	Date Purchase Order / Payment of Advance Consideration	Refund Amount	Date of Payment of Refund Amount
1.	Electromate Components Private Limited	25.07.2024	8,36,930.00	02.09.2024
2.	Abirami Engineering Construction & Co	25.07.2024	25,30,980.00	02.09.2024
3.	Balaji Matrix Holdings-AP	05.07.2024	19,25,319.00	02.09.2024
4.	Complete Solutions	04.07.2024	26,08,231.00	02.09.2024
5.	Deccan Construction Company	23.07.2024	23,82,612.00	02.09.2024
6.	Nirman Constructions	11.07.2024	70,00,000.00	02.09.2024
7.	P.P. John Construction	24.07.2024	50,06,154.00	02.09.2024
8.	RBS Ready Made Steel	08.07.2024	19,01,399.00	02.09.2024
9.	Vijay Constructions Engineers & Contractors	15.07.2024	19,72,000.00	02.09.2024
10.	T.P.N Media	15.07.2024	9,50,000.00	04.09.2024
11.	Mukul Builders LLP	28.06.2024	9,55,174.00	04.09.2024
12.	KBPL AND REPL JV	13.07.2024	38,23,225.00	04.09.2024
13.	P. Naidu	17.07.2024	7,84,517.79	04.09.2024
14.	Sakthi Hardwares Private Limited	19.07.2024	13,59,120.14	04.09.2024
15.	Vaibhav Infra Developers	22.03.2024	39,336.92	04.09.2024
16.	NSPR Construction India Pvt Ltd	16.07.2024	23,70,127.70	04.09.2024
17.	Gayathri / Behl Construction Company	26.07.2024	5,00,000.00	04.09.2024
18.	Bharat Steels	23.01.2024	7,020.90	04.09.2024
19.	Sree Tirumala Steel Enterprises	15.02.2024	90,406.76	04.09.2024
20.	Agarwal Jagdish Construction Co Pvt Ltd	15.07.2024	17,08,163.53	04.09.2024
21.	Chhabindra Kumar Pradhan	18.07.2024	25,43,558.66	04.09.2024
	Total		**4,12,94,276.40**	

7. Ld. Counsel submits that some transactions which were undertaken during liquidation period were not completed by the Liquidator in lieu of supply of certain materials by the suppliers. The suppliers thereafter approached the successful bidders for the sale consideration and dues amounting to more than Rs. 23.0 crores. Some of the suppliers/customers, have also sought interest / penalties on account of non-payment or refund and sent legal notices for recovery of dues as tabulated below:

Sr. No.	Name of the customer	Date of Legal Notice	Amount (INR)
1.	A&A International Private Limited	31.08.2024	1,98,87,350
2.	M/s Seabase Commodities	31.08.2024	69,61,691
3.	Agarwal Coal Company	31.08.2024	1,41,78,086
4.	AK Steels	31.08.2024	2,80,66,897
5.	Armix Steel Marketing LLP	31.08.2024	2,37,68,170
6.	Sri Anusha Enterprises	31.08.2024	59,82,386

8. Ld. Counsel submits that in the legal notices, it was alleged that the Liquidator had admitted his liability to make payment of their dues and represented to them that the same shall be paid upon receipt of the sale

consideration from the Successful Bidders, but the Liquidator in consultation with the secured financial creditors, volte-face and put those liabilities on the successful bidders. Even the Liquidator failed to make payment of certain Government dues such as TDS, ESI, PF for the period prior to the Transfer date including GST for the month of July 2024. Ld. Counsel submits that on account of unpaid GST, e-way bill portal has been blocked by the GST Department causing several hindrances in the operations of the company. The Liquidator even did not make payment of electricity dues to TNSLDC which amounted to Rs.1,20,03,844/-. Ld. Counsel submits that the liquidator selectively paid the demands amounting to Rs.23,31,786/- as tabulated below :

Week ended	Demand amount	Status
07.04.2024	4,18,597	Paid by Liquidator
14.04.2024	9,45,444	Paid by Liquidator
21.04.2024	16,12,279	Unpaid
28.04.2024	6,74,629	Unpaid
05.05.2024	9,72,974	Unpaid
12.05.2024	9,69,140	Unpaid
19.05.2024	9,67,745	Paid by Liquidator
26.05.2024	6,03,649	Unpaid
02.06.2024	6,33,384	Unpaid
09.06.2024	3,07,697	Unpaid
16.06.2024	6,13,227	Unpaid
23.06.2024	5,71,902	Unpaid
30.06.2024	5,57,241	Unpaid
07.07.2024	4,81,391	Unpaid
14.07.2024	5,71,237	Unpaid
21.07.2024	6,55,132	Unpaid
28.07.2024	4,48,176	Unpaid
Total	**1,20,03,844**	

9. Ld. Counsel submits that TNSLDC levied interest of Rs. 3,03,317/- calculated upto 17.08.2024 due to non-payment of above dues. When the company applied for open access approval to operate the captive power plant to TNSLDC, it directed the new management to clear the unpaid dues of DSN charges of Rs.96,72,058/- pertaining to the period prior to the transfer date. The new management had to pay the said sum for obtaining in-principle approval. Ld. Counsel submits that similarly in order to run the company as a going concern, the new management was forced to pay Rs.90,00,000/- to the labour contractor.

10. Ld. Counsel submits that the new management sent a letter dated 27.08.2024 to the Respondents to make payment of the liquidation process cost upto the transfer date as Annexure M, but the Liquidator in consultation with the secured financial creditors by his letter dated 03.09.2024 reiterated the stand taken in the mail dated 20.08.2024 *interalia* that basis the bidding document, the going concern sale was proposed based on the assets and liabilities held in the Company as on 27.12.2023. All assets and accrued liabilities post the cut-off date would continue in the books of accounts of the Company after its take over and would be paid in the normal course of business by the new

management which shall also settle the customer's advances with supply of finished goods and payables post the cut-off date out of realization from the current assets as transferred on the going concern basis.

11. Ld. Counsel submits that the erroneous cut-off date to deny payment of liquidation period costs is in violation of the liquidation Regulations and the bidding document in terms of the following:

(i) **Section 5 (16) of IBC** defines *'liquidation cost'* as any cost incurred by a liquidator during the period of liquidation subject to the Liquidation Regulations.

(ii) The period of liquidation only culminates after filing of final report by a liquidator with the Adjudicating Authority for closure of the liquidation process (in case of sale of corporate debtor as a going concern) or dissolution of the corporate debtor under Regulation 45 of the Liquidation Regulations. In the case at hand, the liquidation process of the Company has not been closed by the Liquidator yet.

(iii) **Regulation 2(1)(ea) of Liquidation Regulations** states that *'liquidation cost'* includes, among others, "costs incurred by the liquidator in carrying on the business of the corporate debtor as a going concern". Hence, the cost incurred by the Liquidator to run the Company as a going concern would form part of liquidation costs - including dues to the suppliers / creditors /customers of the Company incurred during the liquidation period.

(iv) **Regulation 42 (3) of the Liquidation Regulations** states that the insolvency resolution process cost and liquidation cost shall be deducted before any distribution is made.

(v) **Regulation 43 of the Liquidation Regulations** states that a stakeholder shall forthwith return any monies received by it in distribution, which

it was not entitled to at the time of distribution or subsequently became not entitled to.

(vi) Furthermore, **Section 53 of the Code** binds the Liquidator to make payment of insolvency resolution process costs and liquidation costs in full and in priority to other stakeholders.

12. Ld. Counsel submits that an auction sale is concluded only on full payment of the sale consideration and on issuance of the certificate of sale, which in this case happened only after the approval of bid by the Tribunal. The bidding document clearly stipulates that liabilities of the company including CIRP cost and the liquidation process cost shall be settled by the Liquidator in the order of priority under section 53 of IBC and that Successful Bidders shall acquire the assets of the company on a going concern basis. It does not stipulate that the liabilities for the period after e-auction date and prior to the transfer date shall be borne out of the assets of the Company or by the Successful Bidders from their own resources. Ld. Counsel submits that the company has been sold as going concern on a clean slate principle under the code and as per the reliefs granted by the Tribunal with effect from the transfer date i.e., 26.07.2024. Ld. Counsel submits that on the transfer date, neither any funds equivalent to the advance considerations received by the Liquidator from the customers for supply of goods nor any raw

materials / finished goods of quantity were available to the company. There was a significant reduction in the value of the current assets of the company on the transfer date when compared to e-auction notice date. Ld. Counsel submits that there is no basis in law for the Respondents to create an arbitrary and erroneous cut-off date and burden the Successful Bidders with liabilities of the Company prior to the transfer date.

Contention of the Respondent / Liquidator

13. **Ld. Counsel for the Respondent / Liquidator per contra argued that** the sale of the Corporate Debtor as a going concern was approved by the Tribunal vide an order dated 19.07.2024 in favour of the Applicant / Successful bidders against the e-auction sale notice dated 27.12.2023 granting reliefs and concessions ensuring a smooth transition of the business operations without any disruption. Ld. Counsel submits that the company was involved in the business of manufacturing of iron and steel. During the liquidation process, any production activities conducted by the Corporate Debtor resulted in the creation of finished goods. These finished goods were sold and the proceeds were used to pay the suppliers who provided the raw materials and services during

the liquidation period. The process was managed in compliance with the IBC. It was ensured that the suppliers were fully compensated during the liquidation phase before the cut-off date i.e., e-auction sale notice date as the transfer date to arrive the value of the Corporate Debtor. Ld. Counsel submits that after the sale of the corporate debtor as a going concern, the production and sale activities continued uninterrupted, even at the time of fixing the cut-off date i.e., 27.12.2023. The company's operations remained alive. Ld. Counsel submits that the proceeds from the sales were utilized to make payments to the suppliers before the cut-off date and prior to the sale of the company as going concern to the Successful Bidders. Ld. Counsel submits that due to financial constraints, the payments to suppliers were made on a delayed basis, as the Company had insufficient fund. Similarly, salaries were also paid belatedly, but despite all these, the company's operations remained alive.

14. Ld. Counsel submits that all the statutory obligations were cleared by the liquidator after re-verification of records. Only few payments for July and August were pending which were also cleared. Ld. Counsel submits that since the new management assumed control, it has to use

the finished goods, receivables, sale proceeds from those inventories to settle any remaining dues occurred after the cut-off date i.e., 27.12.2023. Ld. Counsel submits that during the process of transfer, a significant amount of finished goods were lying in the company. The liquidator did not have authority to sell those finished goods. However, the new management, after taking control, sold those finished goods and received approximately Rs.3.0 crore. Ld. Counsel submits that despite receiving the substantial amount, the new management retained the money for themselves, which made the creditors demanding outstanding payments totalling to Rs. 5.9 crore which the new management should have cleared using the proceeds from the sale of the finished goods. Ld. Counsel submits that the responsibility for pending payments lies entirely with the new management. By failing to do so, it has committed breach of its obligations to the creditors. Clause 12 of the bidding document also provides that the new management is responsible for settling any new liabilities incurred after 27.12.2023 including payments to the suppliers who provided the raw materials post liquidation. Ld. Counsel submits that the payment made by the Successful Bidders has been distributed to the stakeholders as per

section 53 of IBC, withholding Rs. 42.5 crores towards on-going pending liquidation as contingent liabilities. Reference is made of the case *CA AT INS No.1520 of 2024 titled Shantech International Private Ltd., Vs Devendra Singh* where Hon'ble NCLAT in Para 12 has held that the liquidation commencement date should be considered as the cut-off date i.e., transfer date to the new management, if the e-auction sale notice does not contemplate about the cut-off date. In the present case, the liquidator had mentioned the cut-off date in the e-auction bidding document.

15. Ld. Counsel submits that under the terms of e-auction, the Successful Bidders purchased the Corporate Debtor as a going concern which inherently includes work in progress, finished goods, trade receivables and benefits of PUFE transactions. The Successful Bidder in the present case are attempting to selectively claim the assets without assuming attendant liabilities that are integral to the liquidation process. The Applicant has admitted that they have received Rs. 2.39 Crore from the sale of goods and receivables. The bidding document clearly contemplates that asset shall be reckoned as the date of e-auction sale notice. He referred the case of *M/s. Visisth Services Limited Vs. S.V.*

Ramani, Company Appeal (AT) (Insolvency) No. 896 of 2020 to contend that bidder cannot seek to modify the terms or dictate new conditions. Once the terms and conditions are accepted during the bidding process, the same cannot be altered or challenged post bid. He also referred the order dated 15.02.2022 in the case of *M.S. Viswanathan Vs. Pixtronic Global Technologies Pvt. Ltd., IA/1215/CHE/2021 in CP/699/IB/2017 in the matter of Gemini Communications Limited* to contend that asset bereft of liabilities when it is a going concern sale i.e. assets along with attendant liabilities which clarifies that the clean slate means extinguishment of past liabilities and surplus claims for the prior period to the liquidation commencement date and not the operational cost incurred to keep the going concern sale. The liquidation cost and the operational cost as a part of sale as a going concern have to be seen as different elements. The liquidation cost is purely an expense whereas operational cost is always interlinked with the related realization from the Debtors and stocks which also result in the creation of inventory and receivables etc.,. Ld. Counsel submits that Company was operational during the six months period with purchase and sales activities continuing without interruption. The Applicant has received Rs. 2.17 Crores from the sale

of the finished goods and recovered an additional of Rs. 22.0 Lakhs. However, it does not want to take burden of attendant liabilities. Ld. Counsel submits that attempts by the Applicant to shift responsibility to the Liquidator are unfounded and contrary to the accepted terms and conditions of the sale. Ld. Counsel referred the case *Nabinagar Power Generating Company Ltd Vs. Ram Ratan Modi, Company Appeal (AT) (Insolvency) No. 478 of 2021* where it was held that when a Corporate Debtor is sold as a going concern under Regulation 32A, both assets and liabilities must be transferred together. Ld. Counsel submits that the acquisition plan set forth by the Applicant states that the Bidder has conducted due diligence, read all the terms and conditions and accepted by participating in the e-auction.

16. Ld. Counsel submits that the reliefs sought by the Applicant are contrary to the terms of the sale approval by this Adjudicating Authority and if granted, it would amount to modification which is not permissible under Section 60(5)(c) of IBC. He placed reliance on the case of *Ebix Singapore Private Limited v. Committee of Creditors of Educomp Solutions Limited and Another, (2022) 2 SCC 401.*

17. Ld. Counsel also filed the details captured in the sales and purchase register which include total sales of Rs. 4,16,32,402.10 and total purchase of RS. 4,03,18,133.98 during the relevant period as under.

Sales and Purchase Registers

Particulars	27th Dec 2023 to 31st Dec 2023	Jan-24	Feb-24	Mar-24	Apr-24	May-24	Jun-24	01st Jul 2024 to 26th Jul 2024	Total
Sales	14,19,24,499	83,89,70,333	65,52,89,285	68,22,75,094	51,73,86,849	49,11,07,731	50,83,84,634	32,79,01,784	4,16,32,40,210
Purchases	19,56,39,434	84,26,98,950	54,01,24,081	64,55,25,232	47,20,04,695	50,53,90,126	47,47,00,868	35,57,30,013	4,03,18,13,398

Bank Transactions

Particulars	27th Dec 2023 to 31st Dec 2023	Jan-24	Feb-24	Mar-24	Apr-24	May-24	Jun-24	01st Jul 2024 to 26th Jul 2024
Opening Balance	1,10,90,704	21,16,278	1,09,51,621	44,094	25,38,423	7,43,877	1,85,159	8,997
Receipts								
Realisation from Customers	3,70,70,080	33,70,23,245	26,56,69,354	32,68,77,746	68,86,74,880	17,50,87,798	16,38,76,680	18,26,94,166
Total Receipts	3,70,70,080	33,70,23,245	26,56,69,354	32,68,77,746	68,86,74,880	17,50,87,798	16,38,76,680	18,26,94,166
Payments								
Payments to Suppliers	4,60,44,506	31,68,77,305	27,65,76,881	31,41,55,346	68,30,91,483	17,56,46,516	16,40,52,842	17,01,70,223
Salary	-	1,13,10,597	-	1,02,28,071	73,77,944	-	-	84,34,101
Total Payments	4,60,44,506	32,81,87,902	27,65,76,881	32,43,83,417	69,04,69,427	17,56,46,516	16,40,52,842	17,86,04,324
Closing Balance	21,16,278	1,09,51,621	44,094	25,38,423	7,43,877	1,85,159	8,997	49,98,839

Net Assets

Particulars	Jan-24	Feb-24	Mar-24	Apr-24	May-24	Jun-24
Inventories - FS	60,02,31,261	51,83,37,653	50,76,59,112	46,95,67,440	47,66,15,646	42,74,88,514
Inventories - Others	11,65,75,937	11,10,50,204	6,25,12,558	5,83,74,309	5,80,13,428	6,39,32,646
Total	71,68,07,198	62,93,87,858	57,01,71,670	52,79,41,749	53,46,29,074	49,14,21,160
Trade Payables	(1,36,48,51,283)	(1,46,31,59,851)	(50,89,48,789)	(76,47,89,260)	(69,46,87,150)	(66,73,70,125)
Trade Receivables	2,19,26,41,592	2,34,62,95,713	1,43,00,61,372	1,69,12,17,346	1,57,05,63,741	1,53,17,43,809
Net Assets	1,54,45,97,507	1,51,25,23,719	1,49,12,84,253	1,45,43,69,835	1,41,05,05,665	1,35,57,94,845

Note: Post Auction Notice on 27th Dec 2023, the liquidator has identified some provision in the books of accounts pertaining to group company receivables which was reversed and PUFE application has been filed for such receivables to the extend of Rs. 50 Crs, the realisation of PUFE proceeds would be entitled to the successful bidder.

Group Companies Receivables

Particulars	31/03/2024 (in Crs)	31/03/2023 (in Crs)
Kamachi Steels Private Ltd	32.07	30.03
Goyal Ispat Private Ltds	14.1	13.38
KI International Ltd.- FG	4.16	4.16
Total	50.33	47.57

18. **Ld. Counsel for the Applicant in Rejoinder** contended that the bidding document dated 27.12.2023 finds no mention of cut-off date as 27.12.2023. Per contra, the bidding document stipulates the acquisition date i.e., the date when the transfer happens after the going concern sale

is approved by the Tribunal. Undisputedly, the said date is 26.07.2024, the date on which was company was transferred as a going concern. Ld. Counsel submits that the Tribunal has approved the sale as a going concern on a clean slate principle, holding that the successful bidders shall not be liable for any past claim, demand, liability of any nature with effect from the transfer date i.e., 26.07.2024. The liquidator has also admitted that the company was sold as a going concern to the successful bidders on a clean slate principle. Ld. Counsel submits that the liquidator has admitted that the suppliers have to be compensated for the raw materials and services provided by them to the company during the liquidation process. The Liquidator was therefore under the legal obligation to clear the dues of the suppliers until the transfer date. The electricity dues undisputedly form part of the liquidation cost. It is well settled position of law that all cost, dues, etc., of the creditors and suppliers prior to the transfer date form part of the liquidation process cost and is the liability of the liquidator to pay prior to any further distribution under section 53 of IBC. Ld. Counsel submits that neither any raw materials / work in progress goods nor any finished goods of requisite quantity were available in the company as on the transfer date.

Rather there was a significant reduction in the value of the current assets of the company on the transfer date when compared to e-auction notice date, which is detriment to the successful bidders. Ld. Counsel submits that the sale proceeds were not sufficient to meet the past liabilities incurred by the liquidator. In any event, as per the bidding document, any realization from the sale of the aforementioned finished goods is that of the successful bidders post the transfer date and cannot be utilized to pay the liquidation cost. Ld. Counsel submits that the prior liabilities imposed upon the successful bidders were amounting to more than Rs. 23.0 crore and out of the said liabilities, Rs. 5,99,66,334.40 were paid by the successful bidders albeit without prejudice, to certain creditors, in order to run the company as a going concern.

19. Ld. Counsel submits that from the sale of 476 MT of finished goods which were available in the company on the transfer date, only an amount of Rs.2 .17 crore was realized by the successful bidders post the transfer date which were also the assets of the successful bidders, which was not sufficient to clear the outstanding liabilities incurred by the Liquidator. The company has recovered approximately Rs. 22.0 lakh out of the total receivables mentioned in the books of accounts

pertaining to the period from the e-auction notice date to the transfer date which was not sufficient to clear the outstanding dues of the company. Ld. Counsel submits that the Liquidator is shifting his statutory obligation to pay the liquidation cost upon the successful bidders which is impermissible in law. Ld. Counsel submits that the cut-off date in any event could not have been prior to the sale of the company as a going concern approved by the Tribunal. Ld. Counsel submits that the case of the *Shantech Supra* is distinguishable on facts. In that case, the cut-off date being the liquidation commencement date was stipulated in the e-auction notice whereas in the present case, it was not so mentioned. Ld. Counsel referred the case of *Amit Gupta v. IBBI & Anr., 2024 SCC Online Bom 989* where it was held that the stand of the Liquidator that liquidation cost would not include operational cost is completely erroneous. He also referred the cases of *Tuf Metallurgical Private Limited Vs. Impex Metals, 2021 SCC Online NCLAT 43* and *Nishar Engineering Works Vs. CA S. Palaniappan, Liquidator of M/s. SLO Industries Limited and Anr, IA(IBC)/946(CHE)/2022 in CP/1246/IB/2018 wh*ere it was held that advance payment for supply of goods during CIRP would have to be treated as the CIRP cost. Ld.

Counsel referred the cases of *Shiv Shakti Inter Globe Exports (P) Ltd Vs. KTC Foods (P) Ltd, 2022 SCC Online NCLAT 85* and *Anuj Bajpai Vs. Inderdeep Construction Company & Limited, CA(AT)(Ins)No. 1698 of 2024 & I.A. No. 6123 of 2024* to contend that the Corporate Debtor cannot be burdened with any past or unpaid outstanding liabilities (including the operational liabilities) incurred prior to the sale of the company as a going concern. Ld. Counsel submits that CIRP / Liquidation process cost cannot be cast upon the Successful Bidders as the same has to be paid by the Liquidator strictly from the amounts realized from the sale of the company as a going concern in terms of Section 53 of the Code.

Analysis and Findings

20. We have given thoughtful consideration to the rival contentions , perused the documents and gone through the case laws supra.

21. As per the e-auction sale notice dated 27.12.2023, placed at page 55 of the reply, the sale of the Corporate Debtor was to be held as a going concern on a reserve price of Rs. 457.0 Crore. The last date for submission of document and EMD was fixed as 29.01.2024. It was stated in the notice that auction will be conducted on *as is where is, as is*

what is, whatever there is and without recourse basis as such sale is without any kind of warranties and indemnities through the approved service provider. The bid form along with detailed terms and conditions of complete e-auction process can be downloaded from the website. In the bidding document, it was mentioned that the Liquidator does not take or assume any responsibility of defect or short coming in the movable / immovable assets of the Corporate Debtor and it is understood that the Bidders have done their independent due diligence and have assessed the records, documents and information as required for them to fully converse themselves on the business, working, financials and other details and their bid for the Corporate Debtor is independent of any information / documents etc., supplied to them by the Liquidator including information memorandum. The sale of the Corporate Debtor is as a going concern under Regulation 32(e) and 32A of IBBI (Liquidation Process) Regulations, 2016. Clause 3.3 provided the date of e-auction as 31.01.2024, declaration of Successful Bidder and Letter of Intent based on the conclusion of e-auction result (final sale confirmation is subject to approval of NCLT) as 31.01.2024 and execution of all requisite definitive documents for transfer of Corporate

Debtor as a going concern to the Successful Bidder as the date after the approval by NCLT. The balance payment was required to be paid within 30 days from the date of approval of the sale.

22. Clause 12 of the bidding document provides acquisition of the Corporate Debtor as a going concern. It reads as under.

> The Successful Bidder of acquisition of Kamachi Industries Limited as a going concern shall ensure that the acquisition date occurs the specified date as mutually agreed upon between the concerned parties from the date of approval of the bid of the Successful Bidder by the Adjudicating Authority.
>
> The proposed Going Concern transfer includes all the assets held by the company as on the date of this auction notice [excluding those assets which are not relinquished by the Secured Creditors] which includes:
>
> *a. All the immovable properties owned / controlled by the Corporate Debtor*
>
> *b. All the movable properties owned/controlled by the Corporate Debtor*
>
> *c. All the other Current & Non-Current assets owned / controlled by the Corporate Debtor excluding the cash and cash equivalents available for distribution to the stakeholders u/s 53 of the IBC, 2016.*
>
> *d. All existing contract performances [excluding liabilities if any accruing on the CD] which constitutes an asset for the Corporate Debtor.*
>
> *e. All licenses, registrations, approvals held by the CD.*
>
> *f. All tax benefits, brought forward / carry forward loss benefits, tax accumulations accrued / accruing to the CD, but excludes*

any obligations / liabilities to any tax authorities for the past transactions / non-compliances / offences if any committed by the promoters / directors / employees / other Authorized signatories of the CD.

g. The Going Concern sale excludes all liabilities which will be settled by the Liquidator from the sale realizations, as per the provisions of Insolvency and Bankruptcy Code, 2016

h. The Going Concern sale excludes all existing litigations, which will be settled by the Liquidator with the sale proceeds as per the provisions of IBC. The prospective buyers will be eligible to seek appropriate reliefs as available U/s. 238 and 32A of the IBC, 2016 for lifting/waiver of attachments, encumbrances, decree and order, Liabilities pertaining to Prior offences. The sale of the CD as a going concern is in the similar nature of resolution plan for the CD, the above relied / waiver from prior offences U/s. 32A is subject to the approval of the Adjudicating Authority.

i. All those liabilities / obligations, which are excluded in this sale of CD as a going concern, will be settled in the order of priority u/s 53 of IBC to the extent funds available [from the sales realization of Liquidation estate assets] and the remaining unpaid dues stand extinguished as per the provisions of the IBC, 2016."

23. The bidding document provides the details of assets of Kamachi Industries Limited (under liquidation) as Annexure 2 (page 112-115), details of employees and workman as Annexure 3 (page 116)

24. In the present case, the e-auction took place on 31.01.2024. The Letter of Intent was issued on 31.01.2024. The Bidders had submitted the detailed acquisition plan to the Liquidator vide letter dated 29.01.2024

seeking specific reliefs and prayers mentioned in Annexure C. Clause 2 of the plan *interalia* provided that the entire control of the Corporate Debtor be transferred to the auction bidder on that date (transfer date or acquisition date) pursuant to the auction bidders successfully paying the balance consideration i.e. an amount equivalent to sale consideration less the amount already paid.

25. This Tribunal vide order dated 19.07.2024, on an application filed by the Liquidator vide IA/420/2024 approved the sale of the Corporate Debtor in liquidation as a going concern on a clean slate principle and granted reliefs and concessions as under.

S. No	RELIEF/CONCESSION AS SOUGHT	ORDERS THEREON
1.	The Auction Bidder along with the persons as mentioned in "Proposed Shareholders" in Annexure A above may be permitted to pay / adjust the Sales Consideration in the following manner (i) INR 9,00,00,000/- (INR Nine Crores only) investment/ subscription to the equity shares of the Corporate Debtor; and (ii) the balance amount of Sales Consideration in the form of unsecured debt.	**Granted, subject to the provisions of Companies Act, 2013**
2.	A direction be issued that all the existing shares of the Corporate Debtor shall be extinguished without any consideration, and rights and liabilities arising out of the same shall also be extinguished;	**Granted**
3.	A direction be issued that immediately upon payment of the entire Sale Consideration, the Auction Bidder (or the "Proposed Shareholders" as mentioned in Annexure A, as the case may be) get all the rights, title and interest in the whole and every part of the Corporate Debtor, including but not limited to contracts, free from security interest, encumbrance, claim, counter claim or any demur, and the Sale Consideration shall be distributed by the Liquidator in terms of the Section 53 of the Code;	**Granted**
4.	All Claims or demands made by, or liabilities (including without limitation, any penalty, whether contingent, assessed, known or unknown, interest, fines or fees and any other liabilities and/or obligations which may have a financial impact) or obligations owned or payable to any stakeholders of the Corporate Debtor including but not limited to actual or potential creditors, Financial Creditors, Operational Creditors, Workmen & Employees, Governmental Authority (including but not limited to	**Granted, in view of the clean slate principle enshrined under IBC, 2016**

S. No	RELIEF/CONCESSION AS SOUGHT	ORDERS THEREON
	liabilities, interest and penalties, duties, etc. on account of income-tax, tax deduction at source, tax collection at source, goods and services tax, custom duty, value added tax, service tax, wealth-tax, cess, DGFT dues, EPCG dues, etc., if any,) including any demand for any losses or damages or in connection with any third party Claims or any investigations by any Governmental Authority such as the Central Bureau of Investigation, Serious Fraud Investigation Office, arising from any contractual arrangement, whether direct or indirect, whether admitted or not, due or contingent, asserted or unasserted, crystalized or uncrystallized, known or unknown, secured or unsecured, disputed or undisputed, whether or not set out in the financials of the Corporate Debtor or the profit and loss account statements of the Corporate Debtor or the list of creditors, in relation to any period prior to the Transfer Date shall stand extinguished subject to however the Bidder paying the Consideration. Other than payments made by Liquidator in compliance with Section 53 of IBC, no payments or settlements (of any kind) shall be made to any other Person in respect of claims filed under the liquidation and all claims (including, for avoidance of doubt, any un-verified portion of their claims, rejected) against the Corporate Debtor along with any related legal proceedings (including criminal proceedings), shall stand irrevocably and unconditionally abated, settled and extinguished in perpetuity on and with effect from the Acquisition Date.	
5.	A direction be issued that the all inquiries, investigations, assessments, notices, causes of action,	**Granted in**

S. No	RELIEF/CONCESSION AS SOUGHT	ORDERS THEREON
	suits, claims, disputes, litigations, arbitration, or other judicial, regulatory or administrative proceedings against, or in relation to, or in connection with the Corporate Debtor or the affairs of the Corporate Debtor (other than against the Erstwhile Promoters or former members of the management of the Corporate Debtor), pending or threatened, present or future, in relation to any period prior to the Date of Acquisition or arising on account of the Acquisition shall be deemed to be withdrawn or dismissed;	**terms of Section 32A of IBC, 2016**
6.	A direction be issued that all financial and pecuniary liabilities of the Corporate Debtor, (including without limitation, any penalty, whether contingent, assessed, known or unknown, interest, fines or fees and any other liabilities and/or obligations which may have a financial impact) in relation to any period prior to the Date of Acquisition shall be deemed to be extinguished;	**Granted, in view of the clean slate principle enshrined under IBC, 2016**
7.	A direction be issued that any non-compliance of provisions of any laws, rules, regulations, directions, notifications, circulars, guidelines, policies, licenses, approvals, consents or permissions prior to the Date of Acquisition shall be deemed to be extinguished;	**Granted, in view of the clean slate principle enshrined under IBC, 2016**
8.	A direction be issued that on and from the Date of Acquisition, the status of the Corporate Debtor in the records of the Registrar of Companies should be reflected as 'active' from the status of 'liquidation'	**Granted**
9.	A direction may be issued that from the Date of Acquisition, the Board of Directors of the Corporate Debtor be re-constituted as per the Companies Act,	**Granted, subject to the provisions of Companies**

<table>
<tr><th>S. No</th><th>RELIEF/CONCESSION AS SOUGHT</th><th>ORDERS THEREON</th></tr>
<tr><td></td><td>2013 and the following individuals be permitted to act as Directors of the Corporate Debtor duly appointed under the provisions of the Companies Act, 2013, and direct the Registrar of Companies to do all such acts, deeds and things that are necessary to appoint the following individuals as directors of the Corporate Debtor, who are individuals recommended by the Auction Bidder, in order to enable the Corporate Debtor to file relevant returns required by applicable law.
<table><tr><th>Name of Proposed Directors</th><th>DIN</th></tr><tr><td>Mr. Virendra Jain</td><td>00077662</td></tr><tr><td>Mr. Ankit Jain</td><td>02705589</td></tr><tr><td>Mr. Rajesh Mundra</td><td>01797146</td></tr></table></td><td>Act, 2013</td></tr>
<tr><td>10.</td><td>A direction be issued that on and from the Date of Acquisition, all the assets specified in the complete E-Auction Memorandums shall continue to be the assets of the Corporate Debtor, towards which the Auction Bidder has made payment by way of the Sale Consideration and direct the Liquidator to cooperate with, and provide all necessary support and assistance to the Applicant, including but not limited to perfecting / amending / modifying / creating the land records in relation to all parcels of land, the immovable properties and assets, belonging to the Corporate Debtor in favour of the Corporate Debtor within 15 days from Date of Acquisition;</td><td>Granted</td></tr>
<tr><td>11</td><td>All the subsisting leases in relation to leasehold land granted in favor of the Corporate Debtor by the erstwhile promoters or other individual or institutions or trusts etc., including but not limited to the lease</td><td>This is for the appropriate parties to</td></tr>
</table>

S. No	RELIEF/CONCESSION AS SOUGHT	ORDERS THEREON
	arrangements mentioned in **Annexure D**, shall be deemed to continue without disruption, for the benefit of the Corporate Debtor. In the event, any leasehold payments are outstanding or unpaid, the said amounts shall be deemed to have been settled under the liquidation proceedings in accordance with the provisions of the applicable law and the land owners / lessors shall not terminate the said lease arrangements for any reason whatsoever (including non-payment of lease amounts). Further, if any lease arrangements have been terminated / rescinded by the landowners / lessors on or after the date of initiation of insolvency proceedings against the Corporate Debtor, the terminated leases shall be reinstated at the same terms as agreed upon in the lease agreement.	**consider**
12	A direction be issued that the Corporate Debtor shall have a right to review and terminate any contract that was entered into prior to the date of the Liquidation Order;	**Granted**
13	Further, the Financial Creditors to "Upgrade" the Account of the Corporate Debtor with Banks / FI under the CIBIL Mechanism to "Standard Category" from NPA on the completion of the Acquisition. The Financial Creditors shall release all the charges with Registrar of Companies after the receipt of payment by the Financial Creditors as per the IBC.	**Granted**
14	On and from the Transfer Date, no consents, licenses, approvals, rights, entitlements, benefits and privileges whether under Applicable Law, contracts, leases, granted in favour of Corporate Debtor, including but not limited to factory licenses, fire licenses, vehicles permits, pollution certificates, environmental licenses,	**This is for the appropriate authorities to consider**

S. No	RELIEF/CONCESSION AS SOUGHT	ORDERS THEREON
	CTO CTE certificates, BIS permissions, Kamachi Trademark etc., shall be terminated on the grounds of initiation of insolvency / liquidation of the Corporate Debtor under the IBC, change of control over the Corporate Debtor pursuant to the acquisition by the Bidder or on account of unpaid dues which have been settled pursuant to this acquisition.	
15	The Corporate Debtor and the Bidder shall not be liable for any Taxes including stamp duty on the transfer letter or agreement or any other document enforcing transfer of ownership and control of Corporate Debtor to Auction Bidder and shall be granted an exemption from all Taxes, stamp duty, levies, fees, transfer charges, transfer premiums, and surcharges that arise from or relate to the Acquisition, since payment of these amounts may make the Acquisition unviable	**This is for the appropriate authorities to consider**
16	The Liquidator to, immediately, write back all the liabilities of the Corporate Debtor, including creditors, term loans, working capital loans, tax liabilities, other statutory liabilities, etc. which are not payable and reflect the total liabilities at the amount of the consideration (as reduced by the amount of insolvency resolution process costs and the liquidation costs) determined in the auction in the financial statements (Profit and Loss Account and the Balance Sheet) of the Corporate Debtor as on 31st March 2024. The said financial statements should be prepared and filed by the Liquidator with the relevant regulators such as Registrar of Companies, Income Tax Authorities, etc. Further, the liquidator be directed to file the income-tax returns for financial	**Granted**

S. No	RELIEF/CONCESSION AS SOUGHT	ORDERS THEREON
	year 2023-24 after opting for the new tax regime u/s 115BAA and filing requisite forms as required under the law.	
17	A direction be issued that the bid submitted by the Applicant to be considered to be a resolution plan under Section 79 of the Income Tax Act, 1961 and that the brought forward tax losses of the Corporate Debtor be permitted to be carried forward and set-off against future income as change of shareholding of the Corporate Debtor is pursuant to the bid submitted by the Applicant under the E-Auction Process.	**This is for the appropriate authorities to consider**
18.	A direction be issued to the Liquidator that all the compliances for the period up to the Date of Acquisition including filing of necessary documents and returns with the Registrar of Companies, Income Tax Authorities any other Government Authorities should be completed;	**Granted**

26. Para 4 of the reliefs and concessions provides that all claims or demands in relation to any period prior to the transfer date shall stand extinguished subject to however the bidder paying the consideration. Other than payments made by Liquidator in compliance with Section 53 of IBC, no payment or settlements (of any kind) shall be made to any other person in respect of claims filed under the liquidation and all claims (including, for avoidance of doubt, any unverified portion of their claims, rejected) against the Corporate Debtor along with any

related legal proceedings (including criminal proceedings), shall stand irrevocably and unconditionally abated, settled and extinguished in perpetuity on and with effect from the acquisition date.

27. A combined reading of the clause 12 of bidding document and the reliefs and concessions granted by the Tribunal would show that the acquisition date being the date as mutually agreed upon between the parties is the date of approval of bid of the Successful Bidders by the Tribunal meaning thereby the date on which the sale certificate was issued by the Liquidator i.e. 26.07.2024 placed at Annexure G at page 237 of the application. It is mentioned in the certificate that the Company in liquidation has been sold to the bidders as a going concern including all movable and immovable assets of the Company shown in the Annexure 1 along with leasehold rights (page 239 – 242), but excludes the liquidation bank account along with such other reliefs as ordered in NCLT order dated 19.07.2024 for a sale consideration of Rs. 487.0 Crore. The Liquidator in the certificate acknowledged the receipt of the said sum and handed over / delivered the physical possession of the liquidation estate asset as Annexure 1.

28. Admittedly, bidding document was issued on 27.12.2023 along with the e-auction sale notice but it was nowhere provided in the bidding document that the cut-off date would be 27.12.2023 as claimed by the Liquidator rather the bidding document finds mention the date to be mutually agreed between the parties from the date of approval of the bid of the Successful Bidders by the Tribunal which in the present case is 19.07.2024 (date of approval by the Tribunal or maximum 26.07.2024 when the sale certificate was issued by the Liquidator).

29. There is no denial of the fact that the Corporate Debtor in liquidation was the going concern. During the CIRP and the liquidation process, the RP / Liquidator managed the operations of the Company as a going concern. It was also observed by the Tribunal in its order dated 19.07.2024 at para 52 that the Company is being run as a going concern with over 2000 employees and the report of the Liquidator shows that Company has been incurring losses. It is true that the Company was incurring losses while it was being run as a going concern but till the Company is transferred to the Bidders, the losses are to be borne as the CIRP or the liquidation cost as defined under Regulation 2. (ea) of IBBI (Liquidation Process) Regulations, 2016, which is reproduced as under:

(ea) "liquidation cost" under clause (16) of section 5 means-

(i) fee payable to the liquidator under regulation 4;

(ii) remuneration payable by the liquidator under sub-regulation (1) of regulation 7;

(iii) costs incurred by the liquidator under sub-regulation (2) of regulation 24;

(iv) costs incurred by the liquidator for preserving and protecting the assets, properties, effects and actionable claims, including secured assets, of the corporate debtor;

(v) costs incurred by the liquidator in carrying on the business of the corporate debtor as a going concern;

(vi) interest on interim finance for a period of twelve months or for the period from the liquidation commencement date till repayment of interim finance, whichever is lower,

(vii) the amount repayable [*] under sub-regulation (3) of regulation 2A;

(viii) any other cost incurred by the liquidator which is essential for completing the liquidation process:

Provided that the cost, if any, incurred by the liquidator in relation to compromise or arrangement under section 230 of the Companies Act, 2013 (18 of 2013), if any, shall not form part of liquidation cost.

30. **Section 5(16) of IBC** defines the Liquidation cost. It means any cost incurred by the liquidator during the period of liquidation subject to such regulations, as may be specified by the board.

31. **Section 5(17) of IBC** defines the Liquidation Commencement date. It means the date on which proceedings for liquidation commence in accordance with Section 33 or Section 59, as the case may be.

32. **Section 3(34) of IBC** defines Transfer. It includes sale, purchase, exchange, mortgage, pledge, gift, loan or any other form of transfer or right, title, possession or lien;

33. As seen from the reply and the memo filed by the Liquidator vide Sr. No. 6045 dated 12.12.2024, during the period from 27.12.2023 (the date of e-auction notice) to 26.07.2024 (the date of sale certificate / transfer date), purchases and sales were made for keeping the Corporate Debtor as a going concern. The payments were realized from the customers. Payments were also made to the suppliers and workers as salary, but considering the above facts, Section 5(16), Section 5(17), Section 3(34) of IBC, Regulation 2(ea) of the Liquidation Regulations and Clause 12 of the bidding document, the said cost would be the part of the liquidation cost and the Successful Bidders / Applicant cannot be burdened with the said cost. The distribution has to be made after deducting the CIRP and the liquidation cost to the stakeholders. The Liquidator is under

obligation to manage and settle all financial obligations that arose after the e-auction sale notice till the transfer date which include making payments to Suppliers, Employees and other Creditors as part of the liquidation process. The Liquidator has to ensure that all pending obligations are cleared so that the Successful Bidders run the business smoothly and maintain trust with the Suppliers who contributed to the Company's operation and continuity.

34. In the case of *Amit Gupta Vs. Insolvency and Bankruptcy Code, Board of India and Ors., Manu/MH/2222/2024*, Hon'ble High Court of Bombay has held that the term liquidation cost means any cost incurred by the liquidator during the period of liquidation. The term has been given wide and expansive meaning by the Parliament. It was held as under:

> *"45. The logic behind Section 5(16) providing an expansive and a conceptual definition, that would bring within its sweep, costs of running the business as a going concern, is not far to seek. If a business is preserved pending liquidation by running it as a going concern, the liquidator in management of the business would incur and pay costs before distributing the proceeds of liquidation to stakeholders such as workmen, secured creditors, unsecured creditors and the others (in accordance with Section 53 of the IBC)".*

35. Hon'ble NCLAT in the case of *Shiv Shakti Inter Globe Exports Pvt. Ltd. Vs. KTC Foods Private Limited, Company Appeal (AT) (Insolvency) No. 650 of 2020, New Delhi*, has held as under:

> *22. It is no longer Res Integra that while approving a 'Corporate Debtor' sale as a 'going concern' in Liquidation Proceedings without its dissolution in terms of Regulation 32(e) of the Liquidation Process Regulations, 2016, it is essential to see that the 'Corporate Debtor is not burdened by any past or remaining unpaid outstanding liabilities prior to the sale of the Company as a 'going concern' and after payment of the sale proceeds distributed in accordance with Section 53 of the Code. The Impugned Order in I.A. 889 of 2020 is modified to the extent that the sale of the first Respondent as a 'going concern' is upheld and the direction sought for in prayer (c) & (e) in CA No. 1189 of 2019 seeking extinguishment of past/remaining unpaid outstanding liabilities including contingent liabilities, prior to the sale as a 'going concern, after payment of sale proceeds distributed in accordance with Section 53 of the Code, is allowed.*

36. Hon'ble NCLAT in the case *of CA.No.190/2020, Tuf Metallurgical Private Limited Vs Impex Metal & Ferro Alloys Limited (Under Liquidation) and others, and CA.No.191/2020 Million Link (China) Investment Limited Vs Impex Metal & Ferro Alloys Limited Under Liquidation) and Others, & IA No.132/2020 in CP (IB) No.136/Chd/Hry/2018 passed by the Ld. Adjudicating*

Authority (National Company Law Tribunal), Chandigarh Bench, Chandigarh, has held as under:

> *44. A perusal of Section 20 of IBC makes it clear that after the CIRP is initiated, the IRP/RP is required to manage the Corporate Debtor's operations as a going concern. Section 20(2)(e) gives power to the IRP (Subsequently RP) to take all actions as are necessary to keep the Corporate Debtor as a going concern. In such a process of managing the business operations of the Corporate Debtor, if advance payment is for supply of goods is received, it cannot be treated as raising an interim finance. It is an advance for payment of goods which the Corporate Debtor as a going concern may be manufacturing. The goods are either to be supplied, or the amount should be returned. If the goods are not supplied, the purchaser cannot be made to run for his money. If this approach as in the present matter is not changed, it will become difficult to keep the Corporate Debtors as a going concern. Such amount received as an advance payment for the supply of goods during the CIRP would have to be treated as CIRP costs. A perusal of the record of Company Appeal (AT) (Ins.) No. 191 of 2020 shows purchase contract dated 24th August 2018 (Page 64) executed between the Appellant and Youth Star Vanijya Private Ltd. which has an addendum (Page 67) dated 21st September 2018.*

It was held that an advance paid by the Applicant during the CIRP period is to be treated as CIRP cost. It was also held that the supply made by the Corporate Debtor during the CIRP Period to the Applicant

is to be treated as the CIRP cost. Similarly, amount received / materials received for supply of the goods, during the liquidation process for a Corporate Debtor as a going concern in the present case would have to be treated as a liquidation cost.

37. It was contended that realization of any amount or stocks / receivables by the Successful Bidders / Applicant in lieu of the sale and purchase during the liquidation period, is liable to be refunded to the Liquidator and will be the part of the liquidation cost; the Bidders shall have no right over the said receipts and whatever benefits the Successful Bidders / Applicant received from the Corporate Debtor's continued operations till the transfer date including sale of finished goods and recovery of receivables shall have to be refunded to the Liquidator.

38. We find this contention sans merit. From Clause 12 of the bidding document, reliefs and concessions granted by the Tribunal vide order dated 19.07.2024, liquidation Regulations and provisions of IBC as discussed above and the case laws supra, it is clear that after the transfer date, the same become the assets of the Successful Bidders and

the Applicant cannot be held liable to make the payments. The transfer was made on a clean slate principle.

39. It is also to be mentioned that in the reply and the written submissions filed by the Liquidator / Respondent, it was stated that all the statutory obligations were cleared by the liquidator after re-verification of records (para 8 of the order). Only few payments for July and August were pending which were also cleared. This shows that even after the e-auction sale notice date, till the transfer date, the Liquidator made some payments towards statutory obligations which he included in the liquidation costs. That being the position, the Liquidator cannot be allowed to adopt pick and choose policy, selectively making payments to the operational creditors or others during the liquidation process from the date of e-auction sale notice till the date of transfer of the Corporate Debtor as a going concern.

40. As regards contention that the reliefs sought by the Applicant are contrary to the terms of the sale approval and if granted, it would amount to modification, which is not permissible under Section 60(5)(c) of IBC, in the present case, the Applicant is not seeking any

modification. He has rather prayed that the stand taken by the Liquidator in his mail dated 20.08.2024 and letter dated 03.09.2024, not to bear and make payment of liquidation costs upto the transfer date is erroneous and illegal and that the Applicant cannot be burdened with past claim, demand or liability of any nature prior to the transfer date and that the Liquidator be directed to make payment of all the outstanding dues and liabilities of the Company upto the transfer date to the Creditors of the Company. We are of the view that the Applicant is entitled to the said relief and it would not amount to any modification, rather is inherent with the approval of the sale by the Adjudicating Authority.

41. In the light of above discussions, the application is allowed and it is ordered as under.

(a) We declare that the stand taken by the Respondent No.1 / Liquidator and the Respondent Nos. 2 to 6, i.e., the secured financial creditors of Kamachi Industries Limited, as contained in emails dated 20.08.2024 and letter dated 03.09.2024, not to bear and make payment of the liquidation costs of Kamachi Industries Limited upto the Transfer

Date, i.e., from the close of business hours on 26.07.2024, is erroneous and illegal.

b) We declare that the Successful Bidders and Kamachi Industries Limited cannot be burdened with any past claim, demand or liability, of any nature prior to the Transfer Date, i.e., the close of business hours on 26.07.2024. We therefore direct the Respondent No.1 / Liquidator and the Respondent Nos. 2 to 6 / the secured financial creditors of Kamachi Industries Limited, to make payment, jointly and severally, of all outstanding dues and liabilities of Kamachi Industries Limited forthwith, including insolvency resolution process costs and the liquidation costs upto the Transfer Date, i.e., upto the close of business hours on 26.07.2024, to the respective creditors of Kamachi Industries Limited; and

(c) We direct the Respondent no.1/Liquidator and the Respondent Nos. 2 to 6 / the secured financial creditors of Kamachi Industries Limited, to pay forthwith, jointly and severally, to Kamachi Industries Limited the amounts paid by it thus far towards the outstanding dues of Kamachi Industries Limited for the period prior to the Transfer Date, i.e., 26.07.2024, totalling to INR 5,99,66,334.40 (Rupees Five Crores Ninety

Nine Lacs Sixty Six Thousand Three Hundred and Thirty Four Point Forty Paise Only), or such further amount paid towards such dues by Kamachi Industries Limited during the pendency of this Application, till the date of payment and realisation thereof.

42. In terms of the above, the application IA(IBC)/1898(CHE)/2024 is **disposed of**.

Sd/-

VENKATARAMAN SUBRAMANIAM
MEMBER (TECHNICAL)

Sd/-

SANJIV JAIN
MEMBER (JUDICIAL)